

NORTHSTAR CIVIC INSTITUTE

Nonpartisan Civic Research & Policy

RESEARCH BRIEF

NIL/PBA Financial Literacy for Student-Athletes

“Navigate the Deal” — An MSEEM Initiative

March 2026 | Donovan Norman, MPA (c) & Julie Bark, RN

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EXECUTIVE SUMMARY

On January 27, 2026, MHSAA expanded Personal Branding Activity (PBA) rules for student-athletes in grades 7–12, making Michigan the 47th state to allow high school athletes to earn NIL-type compensation.^[1] In the first two months, only 22 deals were approved statewide.^[2] The gap between policy and practice is not interest—it is literacy. Families lack the financial knowledge, contract awareness, and negotiating capacity to navigate PBA opportunities safely.

Peer-reviewed research consistently finds that adolescent financial literacy is low, that early education produces measurable and lasting improvements, and that the absence of education disproportionately harms lower-income youth.^[3, 4, 5] This brief synthesizes the evidence and presents NCI’s “Navigate the Deal” financial literacy toolkit as a district-ready resource.

1. THE FINANCIAL LITERACY CRISIS AMONG YOUTH

Mancone et al.’s (2024) review in *Frontiers in Education* examined 80 studies and found that financial literacy among children and adolescents remains significantly low globally, with socioeconomic status, parental behavior, and access to structured education as primary determinants.^[3] Programs integrated into educational settings from an early age yield the strongest long-term outcomes.

Frisancho (2023), in a randomized controlled trial in *The Economic Journal*, found mandatory in-school financial education produced a 0.16 SD increase in literacy scores, immediate improvements in financial autonomy, and—via credit bureau records three years later—positive lasting behavioral changes.^[4] Voluntary after-school programs yielded negligible effects.

Amagir et al.’s (2018) systematic review of 60 studies found effective programs share common traits: experiential learning, real-world application, age-appropriate content, and integration into existing curricula.^[5] Kaiser et al. (2022) confirmed that school-based financial education produces robust knowledge and behavioral downstream improvements.^[6]

2. WHY NIL/PBA DEMANDS FINANCIAL LITERACY

Owens, Rennhoff, & Roach (2025) demonstrated in *Applied Economics* that NIL values significantly predict recruiting outcomes, with benefits concentrating at elite, resource-rich programs.^[7] At the high school level, athletes with networks and resources benefit; those without face structural disadvantage.

Jimerson et al. (2025) found that Division I women’s athletes reported NIL education focused on what was *impermissible* while omitting permissible opportunities.^[8] This gap applies with even greater force at the high school level, where no institutional NIL education exists.

MHSAA’s PBA rules prohibit schools, coaches, and staff from brokering deals.^[1] This necessary guardrail creates an information vacuum: families are on their own. Without financial literacy, under-resourced families face elevated exploitation risk.

3. “NAVIGATE THE DEAL” TOOLKIT DESIGN

- **Contract literacy:** Age-appropriate instruction on terms, obligations, exclusivity, and termination. Experiential methods over lecture.^[5]

- **Fair market value:** Tools for evaluating whether offers reflect reasonable compensation based on publicly available benchmarks.
- **Tax and reporting:** Basic guidance on PBA income tax implications, recordkeeping, and MHSAA's 7-day disclosure requirement.^[1]
- **Exploitation recognition:** Red flags—predatory terms, unreasonable exclusivity, identity risk—drawn from documented college NIL patterns.^[7, 8]
- **Parent integration:** Parental involvement significantly increases youth financial education effectiveness.^[3, 9] All modules include parent materials.
- **Digital delivery:** Interactive digital models produce comparable outcomes to in-person at lower cost and greater scale.^[4]

4. EQUITY IMPLICATIONS

Kaiser et al. (2022) found students from lower SES backgrounds show the largest gains from financial education.^[6] Without literacy, NIL/PBA becomes another mechanism replicating income-based inequity in youth sports.^[1, 10]

With only 22 PBA deals approved statewide,^[2] early patterns warrant monitoring. NCI's MSEEM Scorecard tracks deal distribution by district, income, and demographics—ensuring benefits don't concentrate among already-advantaged athletes.

5. POLICY RECOMMENDATIONS

The evidence presented in this brief supports the following policy recommendations:

Recommendation 1: The Legislature should require NIL-specific financial literacy education for all student-athletes before each athletic season. Michigan's personal finance graduation requirement (MCL 380.1278a) provides the statutory foundation. The supplement should cover contract basics, tax obligations on earned income, agent representation, brand valuation, and predatory deal identification. Florida's 5-hour collegiate mandate and Oklahoma's HB 1305 provide working models.

Recommendation 2: MHSAA should adopt NCI's Navigate the Deal toolkit as the recommended financial literacy resource for member schools. Only 22 NIL deals were reported in the first two months. The gap is not student interest; it is literacy. Families lack the contract awareness, tax knowledge, and negotiating capacity to participate safely.

Recommendation 3: The state should establish agent registration requirements for individuals advising minor student-athletes on NIL activity. The April 2026 Executive Order calls for a national agent registry. Michigan should build state-level capacity now. Registration should include background checks, fee caps, and mandatory disclosure.

Recommendation 4: Financial literacy education should be mandatory and school-integrated, not voluntary. Frisanco (2023) found that mandatory in-school programs produce a 0.16 SD increase in literacy scores and lasting behavioral changes verified through credit bureau records three years later. Voluntary after-school programs yielded negligible effects. The evidence is unambiguous: integration into existing curricula is the only delivery model that works at scale.

6. CAPITOL CONTACTS FOR NIL/PBA FINANCIAL LITERACY

Legislative Contacts

NAME	ROLE	NIL/PBA LITERACY ANGLE
Rep. Jimmie Wilson Jr.	HB 4816 sponsor (2023)	The original high school NIL champion. Financial literacy fills the gap his bill identified—athletes need support navigating deals. NCI's toolkit is the implementation resource.
Rep. Joe Tate	HB 4643 sponsor; former athlete	College NIL protections without downstream high school literacy creates a pipeline gap. Toolkit strengthens the K-12 to college athlete protection continuum.
Sen. Dayna Polehanki	Chair, Senate Education	Financial literacy curriculum fits squarely in education policy. She can advocate for PBA education as supplementary content in advisory/health ed periods.
Sen. Darrin Camilleri	Education Committee member	Co-sponsored SB 0014 (state rulemaking). Michigan-specific PBA protections through education align with his “Michigan can lead” track record.
House Regulatory Reform Committee	Where HB 4643 sits	Offer NCI's toolkit as evidence that the ecosystem supporting athlete NIL protections extends beyond legislation into education and implementation.

Agency & Stakeholder Contacts

CONTACT	ORGANIZATION	NIL/PBA LITERACY ANGLE
Geoff Kimmerly	MHSAA Communications	MHSAA can't broker deals but can point families to resources. NCI's toolkit is the resource they need to reference. Only 22 deals = proof of the literacy gap.
Mark Uyl	MHSAA Executive Director	Toolkit reduces exploitation risk—which protects MHSAA's competitive equity. Position NCI as the education partner that makes PBA work as intended.
Flagstar Financial / LMCU	Potential sponsor	Co-branded financial literacy for young athletes = a PR layup. \$25K–50K sponsorship for Year 1 pilot. Community reinvestment alignment.
Comerica / Rocket Companies	Potential sponsor	Michigan-based, youth-facing brands. Toolkit gives them a branded entry into the student-athlete financial education space.
miLEAP	MI Office of Lifelong Ed	Cross-system coordination is their mandate.

PBA literacy bridges athletics, education, and economic mobility—exactly their mission.

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